Supervisor's Humor and Employee Performance:

Roles of Emotion and Leader-Member Exchange

ABSTRACT

Given the importance of leader humor, prosocial behavior, and creativity, it would be promising to examine the process by which leader humor facilitates employee performance. Drawing on affect theories of humor, Broaden-and-Build (B&B) theory, and Leader-Member Exchange (LMX), this study investigates whether and how supervisor's humor expression influences follower's prosocial behavior and creativity. countries: of 557 employees in business organizations from two countries; China and USA, the results show that follower's positive affect mediated the relationship between supervisor's humor expression and follower's OCB and creativity. In addition, LMX moderated the relationship that followers' positive emotion had with followers' two outcomes such that LMX has stronger positive effects on follower's outcomes when follower's positive emotion was higher, rather than lower. This study contributes to a better understanding of leader humor a complex psychological and contextual phenomenon and helps practitioners to better manage the leader humor to improve employees' performance.

Keywords:

Leader humor; Positive Emotion; Organizational citizenship behavior; Creativity; Leader-Member Exchange

INTRODUCTION

Humor, as an important part of social interaction, plays a crucial role in the dynamics of organizational behavior and leadership. Leaders' deliberate use of humor, ranging from jokes to casual banter, is critical in explaining work outcomes, helping in mitigating stress, fostering a creative culture among employees, and enhancing overall workplace morale, group cohesion, and productivity in the workplace (Avolio *et al.*, 1999; Cooper *et al.,* 2018; Jun & Park, 2015; Zampetakis & Gkorezis; 2023). Given its significant influence, leader humor emerges as a critical component of effective leadership.

While prior research has predominantly focused on the overall positive impact of leader humor (Cooper *et al.,* 2018; Yang *et al.,* 2021), recent explorations into the multifaceted nature of leader humor, including its potential downsides (Hu *et al*., 2024; Pundt & Herrmann, 2015; Yam *et al.,* 2018), emphasize the need to identify specific contexts and conditions under which leader humor optimally functions. For this reason, a comprehensive approach is required to better comprehend how leader humor influences employee outcomes. To enhance the knowledge of leader humor, this study aims to delineate the contexts in which leader humor optimally enhances performance.

Specifically, this study aims to empirically investigate how leader humor affects Organizational Citizenship Behavior (OCB) and creativity. While previous research has examined the influence of leader humor on employee outcomes through various lenses, the investigation into its combined effect on followers' OCB and creativity is comparatively uncharted territory (Kong *et al.,* 2019). Given the role of leader humor as an affective event that triggers emotional responses in employees, we contend that leader humor influences workplace performance through positive emotion.

According to Affective Events Theory (AET), emotional event encounters, such as leader humor, provoke emotional reactions, exerting a considerable influence on behaviors and attitudes (Weiss & Cropanzano, 1996). Humor-induced positive emotions can significantly shape individuals' cognitions and behaviors, suggesting a broader impact beyond momentary amusement (Cooper, 2005). Therefore, leader humor will be more likely to influence performance by eliciting positive emotions among members. Furthermore, based on Broaden-and-Build (B&B) theory, positive emotions foster a favorable view of the workplace, leading employees to broaden their role perceptions to encompass prosocial activities that exceed their defined work or the expectations of their psychological contract with their employees (Fredrickson, 2001). Such emotions provide individuals with the necessary capabilities for OCB and creativity. For this reason, we hypothesize that positive emotions mediate the relationship between leader humor on workplace performance.

Additionally, the study also investigates the moderating effect of Leader-Member Exchange (LMX) between leader humor and individual outcomes by positive emotion. Considering the pivotal role of LMX in facilitating behaviors that surpass formal job roles and contribute to organizational success (Graen & Scandura, 1987; Henderson *et al.,* 2009). Characterized by the degree of emotional support and the exchange of resources between supervisors and subordinates, high-quality LMX relationships are foundational for mutual recognition of interests and the pursuit of shared goals, enabling both parties to extend beyond traditional organizational roles to achieve desired outcomes (Graen & Uhl Bien, 1995; Liden *et al.,* 2008). Drawing upon these findings, we propose that the quality of LMX moderates these indirect relationships, such that the beneficial effects of positive affect on follower outcomes are amplified under conditions of high LMX.

In this study, we empirically test hypotheses in two contexts of organizations: China and the USA. The findings from two studies support our hypothesis, revealing that follower's positive emotion mediates the relationship between leader humor and both OCB and creativity. The consistency of these findings across empirical settings contexts underscores the generalizability of our hypotheses, suggesting that the beneficial effects of leader humor transcend cultural differences. Furthermore, the strength of the associations between follower positive affect and these outcomes is significantly influenced by the LMX, with stronger positive effects observed at higher levels of LMX. These insights not only broaden our comprehension of how leader humor can be a catalyst for enhancing followers' performance but also underscore the importance of employee emotion and LMX in maximizing humor's potential. We conclude with theoretical and practical implications and directions for future research.

THEORY AND HYPOTHESES

Leader Humor and Positive Emotion

The concept of leader humor encompasses various definitions: it is seen as an intentional act by leaders to entertain their subordinates (Cooper, 2018), and it is characterized humor as a unique style of communication or behavior (Sobral & Islam, 2015). Humor transcends simple entertainment, reflecting deeper values, intelligence, and fostering meaningful social interactions, and cultivating personal connections (Murstein & Brust, 1985). The core of leader humor consistently focuses on amusing subordinates and fostering a positive communication atmosphere between leaders and followers, underscoring its role in creating a supportive and engaging organizational environment (Kong *et al.,* 2019; Pundt & Herrmann, 2015). Therefore, leader humor emerges as a crucial component within workplace dynamics and interpersonal relations, fostering an environment where individuals exhibit positive behavioral reactions, such as reduced withdrawal, heightened engagement, and improved problem-solving (Kong *et al.,* 2019).

Leader humor, identified as an affective event, stimulates employees' positive emotions. AET suggests frequent interactions with emotion-inducing events that evoke emotions significantly increase the likelihood of individuals displaying specific behavioral responses. Such events, including instances of leader humor, can prompt emotional reactions that profoundly influence behaviors and attitudes (Weiss & Cropanzano, 1996). This stimulation often arises cognitively through the challenging of norms and the juxtaposition of mismatched elements, resulting in enjoyment (Forabosco, 1992). Additionally, a leader's use of humor often symbolizes their supportiveness and amiability towards followers, establishing a relational dynamic that promotes a positive and engaging work environment (Blau, 1964). Leader humor is also effective in breaking down formal hierarchy barriers and reducing socioemotional distances between leaders and subordinates (Yam *et al.,* 2018). As a socioemotional resource, leader humor enables subordinates to develop their personal and emotional resources, affecting their accumulated positive experiences related to their leader (Cooper, 2005; Nifadkar *et al.,* 2012).

Positive Emotion and OCB

Positive emotion constitutes a psychological intermediary through which leader humor affects follower's workplace performance. According to affective theories, individuals' emotional responses are influenced by specific cues in the environment and individuals (Weiss & Cropanzano, 1996). Cognitive interpretation of environmental events provides the basis for the particular emotion experienced (Schachter & Singer, 1962) which in turn motivates behavior. Emotions often play a crucial role in shaping intentions to perform specific actions (Bies *et al.,* 1997) or in creating a predisposition towards future actions in response to particular events or circumstances. As a result, positive emotions may have a significant effect on the employees' perceptions and behaviors (Cooper, 2005).

OCB generally refers to employees' extra-role behaviors that go beyond the employees' official job description and include acts such as helping others and taking on additional responsibilities. For example, Organ (1988: 4) considered that OCB is "individual behavior that is discretionary, not directly or explicitly recognized by the formal reward system, and in the aggregate promotes the efficient and effective functioning of the organization". It includes behaviors of assisting coworkers, showing loyalty and high tolerance, and offering suggestions for organizational improvements such as voice (Organ *et al.,* 2006).

Research has consistently linked positive emotion to increased helping behaviors, reinforcing the notion that a good mood predisposes individuals to act in ways that are beneficial to others and the organization (Isen, 1984). Based on B&B theory, positive emotion leads employees to perceive their surroundings positively (Fredrickson, 2001; George, 1991) which broadens their role definition by including prosocial behaviors (Fritz & Sonnentag, 2009). For example, George (1991) emphasizes the impact of positive affect on pro-social and organizational-beneficial behaviors, by demonstrating the association between positive mood and the likelihood of engaging in OCB. In addition, positive emotion allows individuals to maintain those positive states, leading to engagement in multiple activities (Isen, 1984). Based on the prior literature, we argue that leader humor indirectly increases follower OCB by positively affecting the follower's emotions.

Hypothesis 1a. Leader humor has a positive indirect effect on follower OCB via follower positive affect.

Positive Emotion and Creativity

Creativity is defined as generating novel and useful ideas or solutions, encompassing both the process and the outcomes of idea generation or problem-solving (Amabile *et al.,* 2005). It plays a crucial role in enhancing job performance such as innovation (Gong *et al.,* 2009). Emerging from the interplay between individual attributes and the social environment, creativity is shaped by the synergy of personal traits, cognitive capabilities, and external influences (Perry-Smith & Mannucci, 2017). Early research on creativity has focused on how creativity, as a behavior, can arise from the interaction of those factors, particularly affect (Amabile *et al.,* 2005).

Positive emotion serves as vital resources that enhance individuals' attention and cognitive capacities (Fredrickson, 2001; Madrid *et al.,* 2014), empowering employees to excel and redefine their professional roles and identities (Fredrickson, 1998). It significantly improves workplace performance that requires divergent thinking and insight problem-solving by boosting cognitive functions conducive to creativity (Fredrickson & Cohn, 2008). Furthermore, it is associated with increased cognitive flexibility (Baron & Tang, 2011), effectively expanding habitual thinking and activities, widening cognitive range enriching the pool of ideas, and promoting innovative behavior (Wang et al., 2017).

Consequently, the positive affect elicited by leader humor is posited to enhance cognitive flexibility, ultimately leading to heightened creativity. Based on existing research, we posit that the positive affect stimulated by leader humor promotes enhanced cognitive flexibility in followers, subsequently fostering creativity.

Hypothesis 1b. Leader humor has a positive indirect effect on follower creativity via *follower positive affect.*

Moderating Effect of LMX

Emotions have been known to be a form of social currency, and when expressed within the boundaries of any social interaction, individuals use them to make inferences about their relationships with others (Liden & Graen, 1980). LMX emphasizes the importance of social relationships in leadership. The key premise of LMX theory is that psychological resources are often embedded in and transmitted through social interactions; therefore, employees can derive significant psychological resources from humorous leaders, which can further enhance work performance. Low-quality LMX focuses on transactional economic exchanges, while high-quality LMX relationships are based on social exchanges that promote obligation, trust, and loyalty (Blau, 1964; Liden & Maslyn, 1998).

Characterized by the degree of emotional support and the exchange of resources between supervisors and subordinates, high-quality LMX relationships are foundational for mutual recognition of interests and the pursuit of shared goals, and for achieving desired outcomes (Graen & Uhl Bien, 1995; Liden *et al.,* 2008). Leaders are more confident in supporting the employees with the resources while employees with higher levels of LMX have been found to have a greater amount and frequency of relevant information, including information that has broader implications for the employee and the organization as a whole (Sparrowe & Liden, 2005). High LMX also offers information and autonomy needed in addition to psychological support through enhanced trust and expressions of liking (Volmer *et al.,* 2012). For this reason, employees in high LMX show a motivation for behavior that goes beyond the routine and tend to define the parameters of their jobs to include more in-role behaviors and responsibilities (Hsiung & Tsai, 2011). Research on OCB also suggests that employees with high LMX relationships report engaging in more challenging and relevant work than their low LMX peers (Illies *et al.,* 2007; Liden & Graen, 1980).

We argued that leader humor can act as a socio-emotional resource during social exchange, enhancing the quality of leader-subordinate relationships (Graen & Uhl-Bien, 1995) and improving work performance (Cooper *et al.,* 2018). Therefore, while leader humor influences workplace performance through positive emotions, the effectiveness of this relationship depends on the perceived quality of the social exchange relationship (Graen & Uhl-Bien, 1995; Liden & Maslyn, 1998). Drawing upon the above arguments, we hypothesize that LMX will likely moderate the relationship between positive emotion evoked by leader humor and OCB.

Hypothesis 2a. LMX moderates the relationship between follower's positive emotion and follower's OCB in such a way that the relationship between positive emotion and follower's OCB will be stronger for higher LMX.

Research indicates that while employees possess creative potential, actualizing this into concrete innovations requires managerial support, highlighting creativity as both time-consuming and resource-demanding (Hughes *et al.,* 2018; Amabile *et al.,* 2005). The provision of essential resources, including time and the opportunity for trial and error, is critical. In this context, LMX theory plays a pivotal role by demonstrating how signals regarding resource availability from the social environment significantly impact employees' valuation of creativity (Rigolizzo & Amabile, 2015). Past studies have found that employees with high LMX perceive their work environment as more conducive to innovation (Scott & Bruce, 1994). Such environments, infused with positive emotions, allow employees to expand their cognitive capabilities, fostering the flexibility and multi-perspective thinking essential for creativity (Fredrickson, 2001; Madrid *et al.,* 2014).

Such settings are apt to foster and direct positive emotions toward innovative efforts, with leaders in strong LMX relationships more likely to foster, recognize, and reward creativity. High-quality LMX relationships, characterized by emotional support and resource availability, provide a conducive atmosphere for creativity by enabling freedom of expression and experimentation without the fear of criticism or failure (Tierney & Farmer, 2004). Employees engaged in strong LMX relationships often show a readiness to tackle challenging tasks and embrace risk-taking, both crucial for creative outcomes (Liden & Graen, 1980). This willingness to take risks and attempt new solutions can bolster internal motivation for creative activities (Pan *et al.,* 2012).

Moreover, the creative process is significantly influenced by interactions within the workplace, especially those shaped by leader behavior. High-quality LMX relationships, marked by leader humor, are conducive to creative endeavors (Liden & Graen, 1980). Conversely, in low LMX contexts, employees may feel disinclined to innovate, fearing a lack of necessary material and psychological support, leading to a preference for adherence to prescribed roles without overstepping boundaries (Peng *et al.,* 2017). From these arguments, we hypothesize that followers' positive emotions will have more pronounced effect on creativity in high LMX environments.

Hypothesis 2b. LMX moderates the relationship between follower's positive emotion and follower's creativity in such a way that the relationship between positive emotion and follower creativity will be stronger for higher LMX.

Insert Figure 1 about here.

METHOD

Overview of Studies

We tested the proposed hypotheses in two studies. In study 1, we examined the first hypothesis proposing a mediating effect of positive emotion in the relationship between leader humor and employee work performance with data from organizations in China. To test all hypotheses of this study, study 2 extended investigations to the context of USA organizations. While analyzing the datasets compiled from several organizations in the USA, we especially evaluated all hypotheses proposing a mediation of positive emotion and a moderation effect of LMX.

STUDY 1 METHOD

Sample and Procedures

We collected data from business organizations in China. Specifically, a total of 300 employees from various commercial companies in China. The questionnaire survey was administered in China Shenzhen and Shanghai. We explained the value of the study to the participants on the cover of the questionnaire to ensure their informed and voluntary participation in the survey. We also explained the anonymity and confidentiality of the survey to the participants before the start of the survey. The survey was conducted in two phases separated by a 1-week interval to reduce common method variance (CMV) (Podsakoff et al., 2003; Liu *et al.,* 2020). In the first phase, the employees were asked to answer questions about their leader's humor, their levels of positive emotion, and their demographic information (Time 1). 1 week later, the same employees were asked to rate their level of OCB, creativity, and their LMX (Time 2). In the first stage, a total of 320 responses were collected (from 350 employees). In the second stage, 300 valid questionnaires were collected (from 320 employees). Thus, three hundred participants completed both waves of the survey, yielding a response rate of 85.7%.

Among all respondents, 56.3% were female and 43.7% were male. In total, 15.7% were aged 18 to 25, 11.3% were aged 26 to 30, 31.3% were aged 31 to 40, and 41.7% were aged 41 or older. Among all respondents, 6.3% had a high school education or less, 27.3% had earned a college-level education, 48.3% had a bachelor's degree, and 18% had a master's degree or higher. The average working months at the organization was 118.62. By rank, 65.7% of the participants were individual contributors, 20% were supervisors, 7.3% were managers, 1.7% were directors, 0.7% were presidents and 4.7% were other ranks that were not included in the questionnaire.

Measures

For the survey, we translated the items using standard procedures of back-translation (Brislin,1980).

Leader humor. We assessed leader humor with the three items developed by Cooper *et al.* (2018). An example item is “This manager expressed humor with me at work.” (α = 0.89). Note that this measure entails follower-rated items.

***Positive emotion*.** Employees indicated their positive emotion triggered by their leader by responding to eight items (e.g., "My supervisor brings joy to me by his or her behaviors") developed by Nifadkar *et al*. (2012). (α = 0.96).

***OCB*.** We measured OCB with six items from Wayne *et al.* (1997). A sample item includes “I take the initiative to orient new employees to the department even though it is not part of my job description.” (α = 0.91).

Creativity. We used thirteen items to measure followers' creativity (Zhou & George, 2001). An example of an item was "I suggest new ways to achieve goals or objectives." (α = 0.97).

Control variables. We controlled variables including gender, age, tenure, education, and rank, which are factors associated with emotion, OCB, and creativity (Amabile *et al.,* 2005; Lee & Allen, 2002).

STUDY 1 RESULTS

We first conducted confirmatory factor analysis (CFA) to assess the fitness of the hypothesized model. All four constructs (leader humor, positive emotion, OCB, and creativity) were included in the CFA analysis. The results of the proposed four-factor structure demonstrated a good fit with data ($\chi2$=1105.59, df=384, $\chi2$/Df=2.88, CFI=0.924, NFI=.89, IFI=0.924, TLI=0.914, RMSEA=0.08). Against this baseline four-factor model, we tested other factor models. According to our analysis, the fit indices support the proposed four-factor model.

Descriptive statistics, correlations, and reliability for all variables are reported in Table 1.

Insert Table 1 about here.

Hypothesis Testing

Table 2 summarizes the results of the hypothesized mediating effect. To test the hypothesis, we conducted a bootstrapping-based mediation test using the PROCESS macro. We estimated the indirect effect of leader humor on work performance via positive emotion using unstandardized coefficients and a bootstrapping procedure with 5,000 resamples to produce a 95% confidence interval around the estimated indirect effects.

We chose Model 4 of PROCESS macro in SPSS 25 to test Hypothesis 1a and 1b. First, the analysis revealed that leader humor was associated with increased OCB, mediated by follower's positive emotion (indirect effect = .33, SE = .04, 95% CI = .25 to .42). Thus, these results provide support for Hypothesis 1a. Second, leader humor was associated with increased creativity, mediated by follower's positive emotion (indirect effect = .29, SE = .05, 95% CI = .19 to .39). Thus, these results provide support for Hypothesis 1b.

Insert Table 2 about here.

STUDY 2 METHOD

Sample and Procedure

We gathered data from Prolific's digital survey platform (http://prolific.ac). Like Study 1, we used a self-report research design. Therefore, the survey was conducted in two phases separated by a 1-week interval. We ensured the participants' confidentiality, anonymity, and voluntary participation throughout the study. During the first phase, we invited 350 participants to evaluate their supervisors' humor, and their levels of positive emotion, and share demographic information (Time 1). In the first stage, a total of 301 responses were collected (from 350 employees). In the second phase, 301 participants were asked to rate their level of OCB, creativity, and LMX (Time 2). Out of these, 257 participants fully completed the second survey. Thus, our final sample comprised 257 full-time employees in the USA, yielding an overall response rate of 73.4%.

Among 257 respondents, 64.2% identified as male. The average participant age was 36.2 (SD = 9.38), and 96.9% held at least a college degree. Specifically, 3.1% had a high school education or less, 17.1% had earned a college-level education, 54.1% had a bachelor's degree, and 25.7% had a master's degree or higher. By tenure, there were: 26.5% who worked in their companies for less than 3 years, 22.6% for 3-5 years, 13.2% for 5-7 years, while 37.7% of respondents more than 7 years. By rank, 41.6% of the participants were individual contributors, 15.2% were supervisors, 35% were managers, 5.1% were directors, 1.2% were vice presidents, 1.2% were presidents and 0.8% were other ranks that were not included in the questionnaire.

Measures

We measure leader humor (α = 0.93), positive emotion (α = 0.97), OCB (α = 0.83), and creativity (α = 0.95) using the same instruments as those employed in Study 1.

LMX. We measured LMX using twelve items developed by Liden and Maslyn (1998). An example item is "I like my supervisor very much as a person." (α = 0.94).

Control variables. We controlled variables that are associated with variables according to preceding research. Those were gender, age, tenure, education, and rank (Kong *et al.,* 2019).

STUDY 2 RESULTS

We included all five constructs (leader humor, positive emotion, OCB, creativity, and LMX) in the CFA analysis. The results of the proposed five-factor structure shown in the Table 3 demonstrated good fit with data ($\chi2$=1521.94, df=796, $\chi2$/Df=1.91, CFI=.93, NFI=.86, IFI=.93, TLI=.92, RMSEA=.06). Against this baseline model, we tested a four-factor model with leader humor merged with positive emotion to form a single factor ($\chi2$=1939.8, df=800, $\chi2$/Df=2.43, CFI=.89, NFI=.82, IFI=.89, TLI=.88, RMSEA=.08). Then, we examined another four-factor model with leader humor with LMX ($\chi2$=1896.67, df=800, $\chi2$/Df=2.37, CFI=.89, NFI=.83, IFI=.89, TLI=.88, RMSEA=.07). Next, a three-factor model where leader humor, positive emotion, and LMX were consolidated into a singular factor. The fit indices for this model were $\chi2$=2015.12, df=802, $\chi2$/Df=2.51, CFI=.88, NFI=.82, IFI=.88, TLI=.87, and RMSEA=.08. Subsequently, we evaluated a two-factor model where leader humor was grouped with positive emotion and LMX and creativity was merged with OCB into a single factor. The metrics for this configuration were $\chi2$=2168.48, df=804, $\chi2$/Df=2.7, CFI=.87, NFI=.80, IFI=.87, TLI=.86, and RMSEA=0.08. As shown in Table 4, the five-factor model fitted the data best and better than any other models.

Insert Table 3 about here.

Table 4 gives the descriptive statistics, correlations, and reliability among the variables used in the current study.

Insert Table 4 about here.

Hypothesis testing

In the current study, to test the mediation hypothesis, a bootstrapping-based mediation analysis using the PROCESS macro was conducted, utilizing 5,000 resamples to generate a 95% confidence interval around the estimated indirect effects. First, as reported in Table 5, the indirect effect of leader humor on followers' OCB via positive emotion was significantly positive (indirect effect = .12, SE = .04, 95% CI = .05 to .20), thus supporting Hypothesis 1a. Second, analysis revealed that leader humor was associated with increased creativity, mediated by follower's positive emotion (indirect effect = .09, SE = .04, 95% CI = .01 to .17). Thus, these results provide support for Hypothesis 1b.

Insert Table 5 about here.

Hypothesis 2a predicts that LMX moderates the relationship between positive emotion and follower's OCB. In model 1 in Table 6, moderating effects of LMX was evident in a situation where leader humor and main effects of LMX were controlled (β=1.33, p <.001). Thus, Hypothesis 2a is supported. To interpret this moderating effect, we re-arranged multiple regression equations into simple regressions, given conditional values of LMX (mean + 1 s.d.; mean – 1 s.d.; cf. Aiken and West, 1991). Figure 2 shows moderating effects of LMX between positive emotion and OCB. Specifically, the relationship between positive emotion and OCB is stronger for individuals with high LMX. Next, Hypothesis 2b predicts that LMX moderates the relationship between follower's positive emotion and followers' creativity. In model 2 in Table 6, moderating effects of LMX is strongly significant (β=1.32, p <.001). Thus, hypothesis 2b was also supported. Figure 3 shows the interaction of LMX on the relationship between positive emotion and creativity. In other words, the relationship between positive emotion and creativity is stronger for participants with high LMX.

Insert Table 6 about here.

Insert Figure 2 about here.

Insert Figure 3 about here.

DISCUSSION

The current study suggests a complete model that explains how leader humor affects subordinates' OCB and creativity, recognizing a gap in existing research on how leader humor affects follower performance through affective pathways. Drawing upon affective theories of humor, B&B theory, we explored that leader humor positively impacts follower OCB and creativity indirectly through the enhancement of follower positive affect. Moreover, we propose that LMX moderates these indirect relationships, such that the beneficial effects of positive affect on follower outcomes are amplified under conditions of high LMX. The findings corroborate our hypotheses, revealing that follower positive affect mediates the relationship between leader humor and both OCB and creativity. Importantly, the strength of the associations between follower positive affect and these outcomes is significantly influenced by LMX, with stronger positive effects observed at higher levels of LMX.

Theoretical implications

This study advances our understanding benefits of humor by exploring the role of leader humor in affecting positive emotion, and workplace performance, contributing to leader humor literature. Scholars have posited that leader humor impacts followers' OCB through intermediate processes like job satisfaction, employee engagement, trust in leadership, and psychological safety (Kong *et al.,* 2019). Drawing upon the AET and B&B theory, this study identifies a positive role for leader humor, conceptualizing it as an affective event that triggers emotional responses in employees. An important theoretical advancement made through this research is the identification of leader humor expression as a resource that enhances followers' engagement in cooperative and supportive behaviors through positive emotion. In short, our research implies that leaders can enable subordinates to go "the extra mile" for organizational effectiveness by implementing leader humor in the proper context.

Moreover, regarding creativity, we find a positive and significant association between leader humor and creativity. While the relationship between leadership and creativity has received considerable attention in scholarly research (Duan *et al.,* 2023), only a few studies have paid attention to the effects of humor by leader on employee creativity (Kong *et al.,* 2019). Fostering a culture of innovation is increasingly becoming a strategic imperative for leadership (Choi *et al.,* 2023; Helzer & Kim, 2019). Our findings suggest that leader humor, even without significant shifts in strategy or resource distribution, can significantly enhance a firm's creative output and innovation capabilities.

Furthermore, this study explores the role of LMX in enhancing performance via leader humor. LMX can amplify the impact of leader humor on employee performance. Consequently, equipping leaders with the skills to utilize humor effectively, alongside fostering strong LMX relationships, becomes crucial. These insights not only expand our understanding of how leader humor contributes to enhancing follower performance but also emphasize the essential role of emotional and relational contexts in maximizing the benefits of leader humor for organizational success.

Finally, our empirical study which involved employees in two countries: China and USA, demonstrated that the influence of leader humor remains remarkably consistent across various cultural environments. While existing research posits that leadership behaviors are often filtered through cultural values (Spreitzer *et al.,* 2005) and that leaders utilize humor in verbal or non-verbal forms to elevate employee happiness and diminish formal hierarchical gaps (Mao *et al.,* 2017; Yam *et al.,* 2018), our findings contribute to the discourse on the universal applicability of leader humor in enhancing workplace dynamics. This underscores the potential for leader humor to be broadly effective, challenging the notion that its impact is significantly swayed by cultural differences.

Practical implications

Our findings suggest leaders should view humor as a key instrument for enhancing the positive emotional states of their subordinates. Through humor, leaders have the opportunity to positively affect their followers and determine the outcomes of those followers (Avolio *et al.,* 1999). This strategy becomes particularly relevant in resource-constrained situations since utilizing humor is a cost-effective method to induce positivity (Cooper *et al.,* 2018). Therefore, organizations need to reconsider leader humor as an important resource for performance.

Additionally, leaders carefully assess both the timing and manner in which leader humor is employed to optimize its impact. Our research elucidates the mechanisms by which leader humor influences performance, highlighting that the benefits of work performance are amplified when there exists a strong relationship between the leader and subordinates. These results are also aligned with recent studies that leader humor may not always be received as intended, potentially failing to amuse or even causing misunderstanding or negative reactions. For instance, Pundt and Herrmann (2015) discovered that aggressive humor could deteriorate leader-member relations, and Yam *et al.* (2018) suggested that humor from leaders might be perceived as endorsing norm violations, possibly leading to increased deviant behavior among members. Furthermore, humor from leaders can prompt employees to engage in surface acting (Yam *et al.,* 2018), which negatively affects performance. Therefore, leaders and organizations are encouraged to consider the dynamics of leadership and leader-member exchange (LMX) in this context.

Limitations and future research

Our research, while rigorous, is not without its limitations. First, the measurement of OCB is susceptible to inherent biases. Historically, research has often relied on evaluations from supervisors or peers; however, recent trends indicate an increasing preference for self-reported measures in studies (Ilies *et al.,* 2006). This evolution underscores the importance of methodological variety and a keen awareness of potential biases in evaluating OCB.

Incorporating the nuanced attributes of leader humor can offer a richer understanding of its effects within the organizational context. Unlike previous studies that primarily examined specific humor types, such as coping humor (Sliter *et al.,* 2014), contemporary investigations are beginning to evaluate the intricate qualities and extent of leader humor. For example, Cooper *et al.* (2018) have advocated for the advancement of theoretical frameworks and empirical scrutiny concerning aspects of humor, including exposure, expression, humor inclination, and its role in stress alleviation, urging a deeper exploration into the multifaceted nature of humor in leadership and its organizational implications. More recently, Cooper and Hiller (2023) suggest that there exist distinct disparities in humor application between front-line and executive leadership roles. They elaborate on the particular contexts such as established norms, diversity of target audiences, and relational distances as a fundamental aspect that creates differences. This approach allows for a comprehensive analysis of how various aspects and contexts influence the outcomes associated with leader humor.

Furthermore, we propose that future research should explore the spectrum and types of outcome behavior such as creative behaviors. For example, incorporating distinctions such as incremental creativity and radical creativity as outlined by Cao *et al.* (2023). This differentiation will enable a more nuanced investigation into the complex ways in which leader humor influences employee creativity.

Conclusion

This study enhances the understanding of leader humor by incorporating positive emotion into the research. Through empirical studies in China and USA, we found consistent support for our hypotheses that leader humor influences subordinate OCBs and creativity through positive emotion. We further investigate the role of LMX, positively moderating the relationship between positive emotion and OCB and creativity. These findings offer both theoretical and empirical advancements to the humor research domain, simultaneously introducing numerous intriguing questions that can be explored further.

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TABLE 1. Descriptive statistics, correlations, and reliabilities (Study 1)

	M	SD	1	2	3	4	5	6	7	8	9
1. Gender	0.56	0.50									
2. Age	4.10	1.22	-.21**								
3. Tenure	118.62	104.64	-.14*	.65**							
4. Education	2.79	0.84	0.10	-.34**	-.31**						
5. Rank	1.71	1.41	-0.01	.23**	.21**	-0.10					
6. Leader humor	3.13	0.81	-0.10	-.12*	0.02	-.11*	.13*	(.89)			
7. Positive emotion	3.50	0.76	-.12*	0.11	.17**	-.22**	.18**	.55**	(.96)		
8. OCB	3.75	0.68	-0.11	.21**	.19**	-.17**	.22**	.30**	.69**	(.91)	
9. Creativity	3.67	0.67	-0.06	0.04	0.11	-0.07	.17**	.37**	.65**	.66**	(.97)

Note. N = 300. Two-tailed tests. Cronbach's alphas were represented on the diagonal.

Abbreviations: M, mean. SD, standard deviation.

**p* < .05. ***p* < .01.

TABLE 2. Bootstrapping results on mediating effects of positive emotion (Study 1)

Indirect effect	B	Boot SE	Boot LLCL	Boot ULCL
Leader humor-> Positive emotion -> OCB	0.33	0.04	0.25	0.42
Leader humor-> Positive emotion-> Creativity	0.29	0.05	0.19	0.39

Note: N=300, Number of bootstrap samples: 5,000.

TABLE 3. Confirmatory factor analyses of the measurement model (Study 2)

Model	$\chi2$	DF	$\chi2$/DF	RMSEA	NFI	IFI	TLI	CFI
Five-factor model	1521.94	796	1.91	0.06	0.86	0.93	0.92	0.93
Four-factor model1	1939.8	800	2.43	0.08	0.82	0.89	0.88	0.89
Four-factor model2	1896.67	800	2.37	0.07	0.83	0.89	0.88	0.89
Three-factor model	2015.12	802	2.51	0.08	0.82	0.88	0.87	0.88
Two-factor model	2168.48	804	2.7	0.08	0.80	0.87	0.86	0.87

Notes(s): *N*=257

TABLE 4. Descriptive statistics, correlations, and reliabilities (Study 2)

	M	SD	1	2	3	4	5	6	7	8	9	10
1. Gender	0.64	0.48										
2. Age	38.54	10.29	-0.004									
3. Tenure	2.62	1.23	0.09	.45**								
4. Education	3.05	0.80	0.11	-0.03	0.01							
5. Rank	2.16	1.20	0.08	.18**	.34**	0.04						
6. Leader humor	3.51	1.12	0.04	-.16*	-0.03	0.04	.14*	(.93)				
7. Positive emotion	3.47	1.01	0.01	-0.10	-0.02	0.08	.14*	.63**	(.97)			
8. OCB	3.63	0.79	0.08	0.03	0.09	0.09	.28**	.43**	.45**	(.83)		
9. Creativity	3.75	0.76	0.07	0.11	0.08	.13*	.25**	.39**	.39**	.59**	(.95)	
10. LMX	3.85	0.79	0.05	-0.12	-0.03	0.10	.13*	.62**	.86**	.46**	.36**	(.94)

Note. N = 257. Two-tailed tests. Cronbach's alphas were represented on the diagonal.

Abbreviations: M, mean. SD, standard deviation.

*p < .05. **p < .01.

TABLE 5. Bootstrapping results on mediating effects of positive emotion (Study 2)

Indirect effect	B	Boot SE	Boot LLCL	Boot ULCL
Leader humor-> Positive emotion -> OCB	0.12	0.04	0.05	0.20
Leader humor-> Positive emotion-> Creativity	0.09	0.04	0.01	0.17

Note: N=257, Number of bootstrap samples: 5,000.

TABLE 6. Moderation analyses for Hypothesis 2a and 2b (Study 2)

	DV = OCB			DV = Creativity		
	Model 1			Model 2		
Predictor variables	B	SE B	β	B	SE B	β
Gender	.06	.09	.04	.07	.09	.04
Age	.001	.01	.01	.01	.01	.14*
Tenure	.01	.04	.02	-.03	.04	-.05
Education	.05	.05	.06	.11	.05	.12*
Rank	.14	.04	.21***	.11	.04	.17**
Positive emotion (PE)	-.55	.18	-.69**	-.39	.19	-.51*
LMX	-.20	.16	-.21	-.44	.16	-.46**
PE X LMX	.18	.04	1.33***	.18	.04	1.32***
Adjusted R^2		.30			.26	

FIGURE 1. Research Model

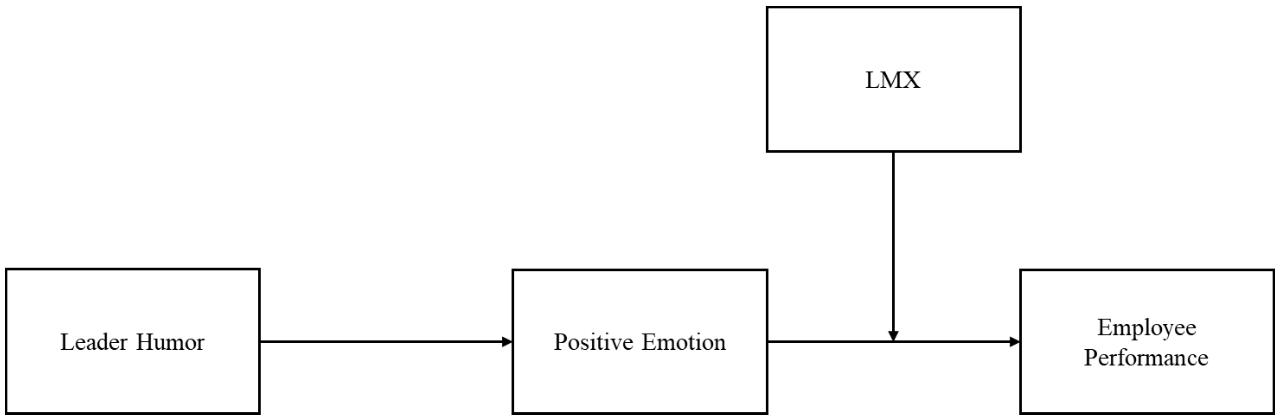

FIGURE 2. Interaction of Effect of LMX on OCB

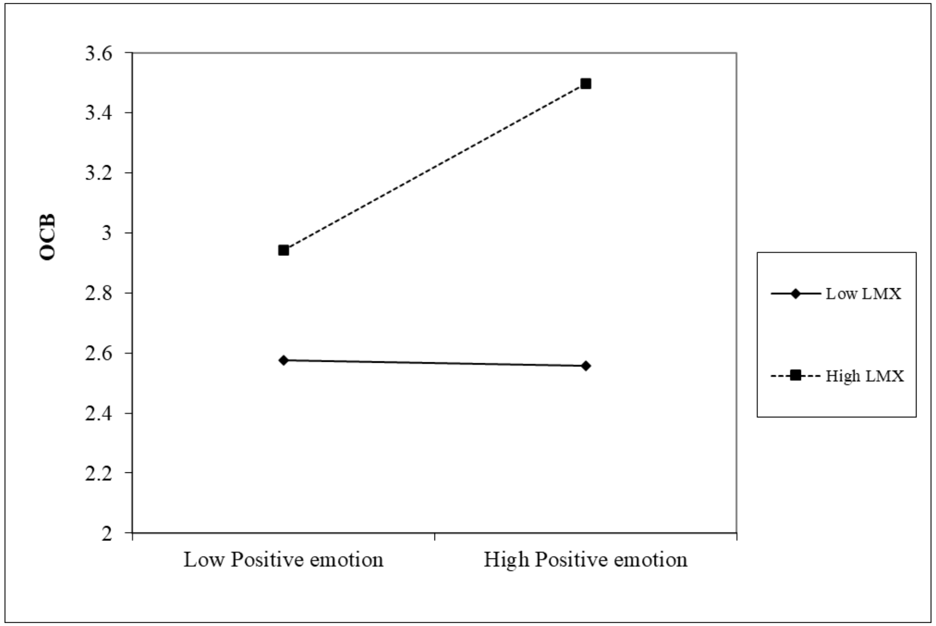

FIGURE 3. Interaction of Effect of LMX on Creativity